

unwisely deprives the owners of the business a dollar of profit. Over the years, Buffett has observed that companies with high-cost operations typically find ways to sustain or add to their costs, whereas companies with below-average costs pride themselves on finding ways to cut expenses.

For Every Dollar Retained, Make Sure the Company Has Created at Least One Dollar of Market Value

This is a quick financial test that will tell you not only about the strength of the business but how well management has rationally allocated the company's resources. From a company's net income, subtract all dividends paid to shareholders. What is left is the company's retained earnings. Now, add the company's retained earnings over a 10-year period. Next, determine the difference between the company's current market value and its market value 10 years ago. If your business has employed retained earnings unproductively over this 10-year period, the market will eventually catch up and set a lower price on the business. If the increase in the company's market value is less than the sum of the retained earnings, the company is going backward. But if your business has been able to earn above-average returns on retained capital, the gain in market value of the business should exceed the sum of the company's retained earnings, thus creating more than one dollar of market value for every dollar retained.

Market Tenets

What Is the Value of the Business?

The value of a business is the estimated cash flows expected to occur over the life of the business, discounted at an appropriate interest rate. The cash flows of a business are the company's owner earnings. By measuring owner earnings over a long period, you will understand whether they are consistently growing at some average rate or merely bobbling around some constant value.